

Sambhv Steel Tubes Ltd

Concall-Tracker report · Screener ticker SAMBHV (NSE: SAMBHV, BSE: 544430) · listed June 2025 · 5 earnings-call transcripts read (Q1 FY26 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Sambhv makes **steel pipes and tubes** — ERW (electric resistance welded) pipes, galvanised pipes and stainless-steel pipes — from its plants in Chhattisgarh, and it is **backward integrated**, making its own sponge iron, billets and coils rather than buying them. In plain terms: it starts from iron ore and ends at a finished pipe, which is why it earns more per tonne than a pipe maker who only buys steel and bends it.

Figure	Value	Plain-English read
Market capitalisation	₹3,771 cr (price ₹128)	What the whole company is worth. The share has ranged ₹80.7–142 since listing in June 2025 and sits near the top of that range.
Price-to-earnings	22.6x; no dividend	About 23 times last year's profit. All cash is retained for the expansion described below.
Q1 FY27 revenue (Jun'26 qtr)	₹732 cr, up 31% YoY	The highest quarter in the company's history, against ₹559 cr a year earlier.
Q1 FY27 operating profit	₹100 cr, margin 13%	EBITDA up 31%, with margin at 13% — above the ~12% management had guided. For a steel pipe maker this is a good margin.
Q1 FY27 net profit	₹56 cr, up 70% YoY	Profit grew more than twice as fast as revenue, as interest and depreciation stayed flat while volumes rose. Net margin passed 7%.
EBITDA per tonne	₹10,000, up 19% YoY	The key operating metric. Excluding sponge-iron sales. Management had guided "upward of ₹8,000" only <i>after</i> its Phase 1 expansion — it is already at ₹10,000 before that expansion has even commissioned.
Volume vs value-added mix	Volume +16%; value-added volume +27%	Value-added products are growing nearly twice as fast as total volume — the mix is shifting the right way, which is what lifts the per-tonne figure above.
FY26 (full year)	₹2,413 cr revenue, ₹143 cr profit	Revenue up 60% on FY25's ₹1,511 cr; profit up from ₹58 cr. Trailing twelve months now ₹2,587 cr and ₹166 cr.
Five-year revenue path	₹479 → 819 → 937 → 1,286 → 1,511 → 2,413 cr	FY21 to FY26 — a five-fold increase in five years, with no down year.
Return on capital	ROCE 19.1%; ROE 18.5%	For every ₹100 of capital the business earns about ₹19 a year before tax — good for a capital-intensive steel business.
Debt (planned peak)	₹800–850 cr term + ₹200–300 cr working capital by end FY27	The cost of the expansion, disclosed openly and in advance. Cost of debt is currently 7.5–8%.

2. Concall coverage

All five earnings-call transcripts the company has ever produced were read, oldest to newest. Sambhv listed in **June 2025**, so this is its complete public history — a short record, but a dense one, because management gives specific numeric guidance on every call.

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY26 (Jun 2025) — maiden call	25 Jul 2025	₹559 cr · 13%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹580 cr · 10%	Yes
Q3 FY26 (Dec 2025)	Feb 2026	₹589 cr · 9%	Yes
Q4 & FY26 (Mar 2026)	11 May 2026	₹685 cr · 13%	Yes
Q1 FY27 (Jun 2026)	04 Aug 2026	₹732 cr · 13%	Yes — latest

Span: five quarters — the company's entire listed life. Transcripts are filed promptly with both exchanges and posted on the company website. The same four executives present each time: Vikas Kumar Goyal (MD & CEO), Anu Garg (CFO), Bikash Agrawal (Executive Director & Chief Strategy Officer) and the investor-relations lead.

2b. Latest concall highlights — Q1 FY27 (call held 04 Aug 2026) ★

- **Highest ever revenue, EBITDA and profit:** revenue **₹732 cr (+31%)**, EBITDA **₹100 cr (+31%)**, profit after tax **₹56 cr (+70%)**. EBITDA margin 13%, net margin above 7%.
- **The mix is doing the work:** total sales volume grew 16% but **value-added product volume grew 27%**, lifting **EBITDA per tonne 19% to ₹10,000** (excluding sponge-iron sales). Management had guided "upward of ₹8,000" per tonne only after Phase 1 of the expansion — that level has been passed well ahead of schedule.
- **The capacity ambition has been raised, not deferred:** the target is now to take finished-product capacity from **0.68 million tonnes a year to over 2 million tonnes by 2030**. At the maiden call in July 2025 the stated goal was 1.2 million tonnes in three phases.
- **Concrete progress on the ground:** the stainless-steel brownfield expansion is **complete, doubling capacity from 58,000 to 116,000 tonnes a year**, with consent to operate already in place. The Kesda greenfield and Kuthrel Unit 2 remain **on track for commissioning in Q4 FY27** — the same date given at the maiden call. A ₹25 cr solar plant at Kuthrel will cut power cost.
- **Funding disclosed plainly, including the promoters' own money:** up to **₹100 cr** is being raised through convertible warrants, and when asked whether this was merely an enabling provision the CEO said the "promoter family is serious about putting ₹100 crores" in. Management also stated peak debt in advance — **₹800–850 cr of term debt plus ₹200–300 cr of working-capital debt by end-FY27**, at a 7.5–8% cost. Product approvals were secured from leading government organisations during the quarter.

2c. Business mix & capacity (quick facts)

Domestic vs export: predominantly **domestic** — Sambhv supplies India's construction, infrastructure, water and industrial markets, and secured product approvals from leading government organisations during Q1 FY27. No export share is disclosed on the calls, so none is quoted here.

Product mix — the strategic shift: the business is moving from commodity ERW pipe toward **stainless steel** and other value-added products. Stainless was around **20% of revenue** at the maiden call; management's stated end-state, once 180,000 tonnes of fully backward-integrated stainless capacity is added, is roughly **50% stainless / 50% ERW and galvanised pipe**. Backward integration into sponge iron, billets and coils is what allows the company to capture margin at each step rather than only at the pipe stage.

Capacity utilisation: current finished-product capacity is **0.68 million tonnes a year**, targeted at **over 2 million tonnes by 2030**. The stainless brownfield line has just doubled from 58,000 to 116,000 tonnes with consent to operate granted, so that capacity is available from this year. The larger **Kesda greenfield and Kuthrel Unit 2** commission in **Q4 FY27**. Alongside sit three efficiency projects announced in Q4 FY26 for about ₹200 cr: a captive power plant saving **₹60–70 cr** a year, debottlenecking of the Sarora rolling mill, and a DFT-route pipe mill costing ₹50 cr that management says unlocks ₹40–50 cr of operating value — together an expected operating boost of **₹100–120 cr**. Percentage utilisation is not disclosed and none is invented here.

3. Earning Trigger thesis ★

The driver is a **funded, dated, three-part capacity and mix transformation**, and unusually for a company barely a year listed, the early evidence is already in the numbers. Part one is **scale**: finished-product capacity goes from 0.68 million tonnes to over 2 million tonnes by 2030, with the Kesda greenfield and Kuthrel Unit 2 commissioning in Q4 FY27 and the stainless line already doubled to 116,000 tonnes. Part two is **mix**: stainless steel moves from about 20% of revenue toward roughly half, and value-added volumes are already growing 27% against 16% for total volume — which is why EBITDA per tonne has reached ₹10,000, a level management had promised only after Phase 1 completed. Part three is **cost**: backward integration into sponge iron and billets, plus a captive power plant saving ₹60–70 cr a year, a solar installation and a debottlenecked rolling mill, together worth an expected ₹100–120 cr of operating benefit for about ₹200 cr spent. Revenue has already gone from ₹479 cr to ₹2,413 cr in five years without a down year. The honest counterweight is leverage: peak debt is guided at ₹800–850 cr of term borrowing plus ₹200–300 cr of working capital by end-FY27, against FY26 profit of ₹143 cr — so the expansion must land close to plan.

Trigger	What management said	Evidence so far	Horizon	Strength
Capacity expansion to 2+ mtpa	0.68 mtpa → over 2 mtpa by 2030; Kesda and Kuthrel Unit 2 commissioning Q4 FY27	On track, and the ambition was raised from the original 1.2 mtpa. Approvals (Gram Panchayat, MOEF TOR, CECB hearing) already obtained	FY27–FY30	Strong
Stainless steel mix shift	From ~20% of revenue toward ~50%, via 180,000 t of backward-integrated stainless capacity	Brownfield line complete — 58,000 → 116,000 tpa with consent to operate in hand	FY27–FY30	Strong
EBITDA per tonne	"Upward of ₹8,000" after Phase 1 commissions	₹10,000 already, up 19% YoY — achieved before Phase 1 has commissioned	Now	Strong
Cost-reduction projects	~₹200 cr on captive power, Sarora debottlenecking and a DFT pipe mill; expected ₹100–120 cr operating boost	Announced with itemised economics (power alone ₹60–70 cr). Not yet delivered — these are FY27 events	FY27	Moderate
Backward integration	Own sponge iron, billets and coils feeding the pipe mills	Structural and already operating — it is why margins hold at 13% in a commodity product	Structural	Strong
Promoter capital commitment	₹100 cr convertible warrants; "promoter	Announced. Promoters funding alongside shareholders is a	FY27	Moderate

	family is serious about putting ₹100 crores"	genuine alignment signal, though not yet received		
Leverage (risk)	Peak debt ₹800–850 cr term + ₹200–300 cr working capital by end-FY27; cost 7.5–8%	Against FY26 profit of ₹143 cr this is meaningful gearing. Disclosed in advance, which is to their credit, but it is the main risk	To FY28	Key risk
Steel price cyclicalities (risk)	—	Margin has swung 9% to 13% across five quarters. A commodity downturn during a debt-funded build is the scenario that would hurt	Always	Outside control

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 (maiden call)	EBITDA margin guidance of about 12%	FY26 came in at 11% overall, and Q4 FY26 and Q1 FY27 both at 13% — currently running above guidance	Delivered
Q1 FY26	EBITDA per tonne "upward of ₹8,000" after Phase 1 commissions	₹10,000 achieved in Q1 FY27 , before Phase 1 has commissioned — beaten early	Delivered (over)
Q1 FY26	Phase 1 of the expansion to be commissioned by end of FY27	Kesda and Kuthrel Unit 2 still guided to Q4 FY27 — the same date, five quarters later, with no slippage	On track
FY26	Stainless capacity expansion	Completed — 58,000 to 116,000 tpa with consent to operate obtained	Delivered
Q4 FY26	Capex of ₹930 cr, of which ₹300 cr spent; ₹675 cr term loan planned for Kesda	Progress reported quarter by quarter with the running total updated (₹200 cr → ₹300 cr spent) rather than restated vaguely	Tracked openly
Q4 FY26	A further ₹200 cr on power, debottlenecking and a DFT pipe mill, with an expected ₹100–120 cr operating boost	Itemised economics given for each component. Not yet delivered — due through FY27	Too early
Q1 FY27	—	Peak debt stated in advance (₹800–850 cr term, ₹200–300 cr working capital) with the cost of debt, rather than waiting to be asked after the fact	Candid
Q1 FY27	₹100 cr warrant issue	When an analyst asked whether it was just an enabling resolution, the CEO answered directly that the promoter family is committed to putting the money in	Direct answer
Ongoing	—	Listed only June 2025 — five quarters of public record. Not long enough to see how the team behaves in a downturn	Short record

Narrative drift: None, and the direction of revision has been upward rather than the reverse. At the maiden call in July 2025 management set out a 1.2 million-tonne capacity plan in three phases with Phase 1 due by end-FY27, an EBITDA margin around 12%, and EBITDA per tonne above ₹8,000 once Phase 1 landed. Five quarters later the

Phase 1 date is unchanged at Q4 FY27, the margin is running at 13%, the per-tonne figure has already reached ₹10,000 *before* Phase 1, and the long-run capacity target has been **raised** to over 2 million tonnes by 2030. Raising a target after beating the interim milestones is a very different thing from the pattern seen elsewhere in this coverage, where headline ambitions get quietly pushed out. The disclosure habits are good too: the capex spent is updated as a running total each quarter, the individual economics of each efficiency project are itemised (power ₹60–70 cr, DFT mill ₹40–50 cr of unlocked value), peak debt was volunteered in advance with the interest cost attached, and a direct question about whether the warrant issue was merely an enabling provision got a direct answer. The one genuine limitation is time: the company has been public for five quarters, all of them good ones. Nothing here has yet been tested by a steel-price downturn arriving in the middle of a debt-funded build, which is precisely the risk the leverage guidance implies.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The driver is concrete, funded, dated, and already partly visible in the results. Capacity goes from 0.68 million tonnes to over 2 million tonnes by 2030, with the stainless line already doubled to 116,000 tonnes and consented, and the Kesda greenfield plus Kuthrel Unit 2 commissioning in Q4 FY27. Alongside the volume story runs a mix story that is arguably more valuable: stainless moving from about 20% of revenue toward half, value-added volumes growing 27% against 16% for total volume, and EBITDA per tonne consequently reaching ₹10,000 — a level management had promised only *after* Phase 1 completed. Behind both sits a genuine structural advantage in backward integration, making its own sponge iron, billets and coils, which is why a pipe maker earns a 13% margin at all. And roughly ₹200 cr of efficiency spending on captive power, debottlenecking and a DFT pipe mill is expected to add ₹100–120 cr of operating benefit. Revenue has gone from ₹479 cr to ₹2,413 cr in five years without a down year, and Q1 FY27 grew 31% with profit up 70%. The honest risk is leverage: peak debt of ₹800–850 cr term plus ₹200–300 cr working capital by end-FY27, against ₹143 cr of FY26 profit, in a business whose margin has swung between 9% and 13% in five quarters. The trigger is real; it is being built with borrowed money in a cyclical industry.

Management consistent? → YES

In five quarters as a listed company this management has given specific, numeric, falsifiable guidance and then beaten it. They said EBITDA margin of about 12% — it is running at 13%. They said EBITDA per tonne above ₹8,000 *after* Phase 1 — it reached ₹10,000 *before* Phase 1 commissioned. They said Phase 1 would be commissioned by end-FY27 at the maiden call, and five quarters later the date is still Q4 FY27, unchanged. The stainless brownfield expansion was promised and completed, with the operating consent obtained. And rather than trimming the long-run ambition once reality arrived, they **raised** it, from 1.2 million tonnes to over 2 million tonnes by 2030. The disclosure supports the same conclusion: capex spent is reported as a running total that increments visibly each quarter, each efficiency project is given its own economics rather than being bundled, peak debt and its interest cost were volunteered ahead of being asked, and a pointed question about whether the ₹100 cr warrant issue was a real commitment or a paper resolution was answered plainly — the promoter family is putting in its own money. The only reservation, and it is a real one, is that this record covers just five quarters and all of them were favourable. A management team is properly tested when steel prices fall in the middle of a debt-funded expansion, and that has not happened yet.

Prepared from all five Sambhav Steel Tubes Ltd earnings-call transcripts, Q1 FY26 (25 Jul 2025) through Q1 FY27 (04 Aug 2026), sourced from Screener.in — the company's complete public record since its June 2025 listing. All figures as disclosed by management on those calls or from Screener.in financial statements. Small differences between management-reported and Screener figures (Q1 FY27 EBITDA ₹100 cr vs ₹95 cr, PAT ₹56 cr vs ₹57 cr) reflect other-income and reporting-basis treatment. **This is not investment advice. Do your own due diligence.**